

THE LOOT

Companies paid a meagre royalty of Rs 29 per tonne and mined as much as they could

- Private mines constitute 60 per cent of over 2,000 mines in Orissa which do the greatest damage to the environment and exchequer.
- In a PIL admitted by the Supreme Court, mineral wealth over-mined was worth Rs 7,000 crore a year since 1999-2000.
- The apex court ordered a probe by a committee. A member called the scam as "a can of worms".
- After the PIL highlighted illegal mining in 155 mines, the Government hurriedly shut down 128 of them, cancelled over 1,000 trading licences and ordered a probe.
- The Government told the High Court that the ore-bearing areas are 'vulnerable to theft' since they lie open in inaccessible areas.

THE GAINERS

RTI replies reveal excess mining worth over Rs 14,000 crore since 2000-01

State-owned OMC over-mined 9,63,184 MT* chrome ore during 2004-08 valued at Rs 626 crore.

Essel Mining & Industries (Aditya Birla Group) has done excess mining worth Rs 4,000 crore: 1,38,01,391 MT (Rs 2,286 crore) during 2000-06 in Jilingolta and 68, 58,460 MT (Rs 1,714 crore) in Kasia mines in 2003-06.

Sirajuddin & Co over-mined 30,93,000 MT iron ore worth Rs 773 crore in 2000-06 from Belda.

S.R. Rungta Group has extracted iron ore and manganese worth Rs 1,900 crore in 2003-06.

Thakurani B Mines, having a controlling stake of Jindal Steel and Power, over-mined iron ore worth Rs 1,850 crore.

*MT: Million tonnes

ber Pyarimohan Mohapatra, the man behind the BJD-BJP break-up, on the ground that BJP could never win more than eight seats on its own, attributes the BJP's antagonism to the party's humiliating defeat in the elections.

When the Vigilance FIR stated that the illegal mining of iron ore by Indrani's company had caused a loss of about Rs 132 crore to the exchequer, both Congress whip Prasad Harichandan and BJP floor leader Kanak Vardhan Singhdeo alleged that the BJD Government tried to divert the issue when the scam was highlighted. They say it turned down the demand for a probe by a House Committee and when the demand for a CBI inquiry was raised, the chief minister announced an inquiry by the state Vigilance Directorate.

Opposition tantrums apart, the Indrani case exposes how mines were plundered with the full knowledge of the Government. Senior Congress leader Narasingh Mishra said Indrani's application for a lease was recommended by the state government in 1997 (when J.B. Patnaik was chief minister) and Naveen, as the Union steel and mines minister, had granted her 'prospective lease'. Again in 2008, she was granted surface rights to operate the mines. Her company's main handler was Chennai-based Triveni Earth-Movers Pvt Ltd whose owner B. Prabhakaran was allegedly close to Pyarimohan.

Besides, according to the Mining Plan, Indrani's company was allowed to raise 2.10 lakh tonnes per annum but in three years it extracted 28 lakh tonnes. It paid royalty and other taxes for every tonne it raised, however. The same modus operandi was followed by others who paid a meagre royalty of Rs 29 per tonne and carted away mineral wealth. According to the Opposition, if the case is investigated by the CBI—three PILs demanding it are pending before the Orissa High Court—at least six ministers and a dozen other MLAs would be exposed.

Naveen's announcement of the vigilance inquiry in July last year, how-

VIGILANCE OFFICIALS RAID THE OFFICE OF THE S.R. RUNGTA GROUP IN BHUBANESWAR



ever, came much after Transparency International's Biswajit Mohanty had opened the proverbial Pandora's box. Orissa, which has an overall 17 per cent of the country's mineral wealth, including 98.39 per cent of its chromite, 30.64 per cent of iron ore and 28.33 per cent of manganese, has attracted several steel makers as well as mineral traders. The Opposition charges coincided with Mohanty releasing RTI documents depicting illegal over-production by big companies in the past few years, valued roughly at Rs 14,000 crore. Later in November, Odisha Jana Sammilani chief and journalist Rabi Das estimated the plunder at Rs 7,000 crore per annum since 1999-2000, in his PIL filed in the Supreme Court. Thus a rough estimate would tag the over-mining at over Rs 60,000 crore. "This shows either the entire system of governance has crumbled or everyone from the state Secretariat to the mine operators is involved in the loot," says Das.

The RTI documents circulated by Mohanty named Tata Steel too as a "plunderer" of iron ore and chromite worth Rs 1,753 crore in the last one